

Annexure – 23B

Format of Bank Guarantee for Security Deposit

1. In consideration of the HINDUSTAN AERONAUTICS LTD., _____ Division (hereinafter called as "HAL") having agreed to exempt _____ [hereinafter called "the said Contractor/ Vendor(s)"] from the demand of Security Deposit, under Agreement/Contract/Order No. _____ dated _____ (hereinafter called "the said Agreement/ the said Contract/ the said Order"), made between _____ and _____ for _____ (indicate the scope of supply) for the due fulfillment by the said Contractor/Vendor(s) of the terms and conditions contained in the said Agreement/Contract/Order, on production of a Bank Guarantee for _____ (indicate the amount in Rs/ Foreign Currency) (_____ Only), We, _____, (indicate the name of the bank) (hereinafter referred to as "the Bank") at the request of _____ [Contractor/Vendor(s)] do hereby undertake to pay to HAL an amount not exceeding _____ (indicate the amount in Rs/ Foreign Currency) against any loss or damage, costs, charges and expenses, claims caused to/ suffered or would be caused to/ suffered by HAL by reason of any breach by the said Contractor/ Vendor(s) of any of the terms or conditions contained in the said Agreement/Contract/Order.
2. We, _____ (indicate the name of the bank) do hereby unreservedly, irrevocably undertake to pay immediately the amounts due and payable under this Guarantee without any demur, merely on a written demand from HAL stating that the amount claimed is due by way of loss or damage caused to or would be caused to or suffered by HAL by reason of breach by the said Contractor(s)/Vendor of any of the terms or conditions contained in the said Agreement/Contract/Order or by reason of the said Contractor/Vendor(s)' failure to perform the said Agreement/Contract/Order. Any such demand made on the Bank shall be conclusive as regards the amount due and payable by the Bank under this Guarantee. However, our liability under this Guarantee shall be restricted to an amount not exceeding _____ (indicate the amount in Rs/ Foreign Currency).
3. We undertake to pay to HAL an amount not exceeding _____ (indicate the amount in Rs/ Foreign Currency) so demanded notwithstanding any dispute or disputes raised by the said Contractor(s)/ Vendor(s) in any suit or proceeding pending before any Court or Tribunal relating thereto, our liability under this Guarantee being absolute and unequivocal.
4. We, _____ (indicate the name of bank) further agree with HAL that HAL shall have the fullest liberty without our consent and without affecting in any manner our obligations hereunder to vary any of the terms and conditions of the said Agreement/Contract/Order or to extend time of performance by the said Contractor/Vendor(s) from time to time or to postpone for any time or from time to time any of the powers exercisable by HAL against the said Contractor(s)/Vendor and to forbear or enforce any of the terms and conditions relating to the said Agreement/Contract/Order and we shall not be relieved from our liability by reason of any such variation, or extension being granted to the said Contractor/Vendor(s) or for any forbearance, act or omission on the part of HAL or any indulgence by HAL to the said Contractor/Vendor(s) or by any such matter or thing whatsoever which under the law relating to sureties would, but for this provision, have effect of so relieving us.
5. We, _____ (indicate the name of bank) lastly undertake not to revoke this Guarantee during its currency except with the previous consent of HAL in writing and agree that any change in the constitution of the said Contractor(s)/Vendor(s) or the Bank shall not discharge the Bank of its liability under this deed.
6. The validity of Bank Guarantee shall be up to _____ (dd/mm/yyyy) and such date shall be 60 days after the last delivery/Services against the said Agreement/Contract/Order. The Bank Guarantee shall continue to be enforceable till all the dues of HAL under or by virtue of the said Agreement/Contract/Order have been fully paid and its claims satisfied or discharged or till HAL certifies that the terms and conditions of the said Agreement/Contract/Order have been fully and properly carried out by the said Contractor(s)/ Vendor

and accordingly discharges this Guarantee.

7. The Bank Guarantee can be invoked by submitting the claim at _____ (Place of respective HAL's Division) any Branch of the issuing Bank.
8. Notwithstanding anything contained herein:
 - a) Our liability under this Bank Guarantee shall not exceed Rs. (Rupees Only)
 - b) This Bank Guarantee shall be valid up to _____ (being the date of expiry of the Guarantee) and
 - c) The Beneficiary's right as well the Bank's liability under this Guarantee shall stand extinguished unless a written claim or demand is made under this Guarantee on or before _____ [_____] ((being the date of expiry of claim period which in no case should be less than 1 year from the date of expiry of validity period of **Bank Guarantee** as per **clause 8 (b)** above).
9. This Bank Guarantee shall be governed by and constitute in accordance with Indian Law and shall be subject to exclusive Jurisdiction of Indian Courts.
10. Dated the _____ day of _____ for _____ (indicate the name of the Bank)